

ERP System Implementation Project (Odoo)

Watan Designs Limited, Kingdom of Saudi Arabia

Training Manual & Implementation Guide by:

Dubai in Cairo Ltd.

For Digital Marketing and eCommerce Services

Odoo Inventory Module (Chapter 02)

Release date: November 2025

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2.0 Inventory Management System

2.1 Introduction and Objectives

Odoo's inventory management system is responsible for managing the movement of raw materials and finished products within the facility, from the moment they are received from suppliers until they are delivered to customers. The system helps in accurately tracking inventory, minimizing waste, and ensuring timely material availability.

System Objectives:

- Close monitoring of every entry and exit movement from the warehouses.
- Linking inventory to sales, purchases, and manufacturing automatically.
- Achieving a balance between available and required quantities to reduce shortages or overstocking.
- Generate accurate inventory reports at any time.
- Facilitating transportation between different branches and warehouses.

2.2 Basic Terminology

Term	Translation	Practical Explanation
Warehouse	المستودع	It is the main place for storing materials or products. It may contain several sub-sites.
Location	الموقع	Internal division of the warehouse such as: raw materials area, finished products area, shipping area.
Stock Move	حركة مخزون	It represents the transfer of an item from one location to another (receipt - internal transfer - delivery).
Transfer	التحويل	The managerial process that documents inventory movement within the system.
Picking Type	نوع العملية	It determines whether the transaction is a receipt from the supplier or a shipment to the customer, or an internal transfer.
Lot / Serial Num.	رقم التشغيل أو التسلسل	A unique number used to track a product or batch across the system.
Reordering Rule	قاعدة إعادة الطلب	A rule that defines the minimum inventory level at which the system issues an automatic purchase or production order.
Stock Valuation	تقييم المخزون	Total inventory value based on recorded costs for each item.

2.3 The Workflow In A Warehouse Management System

Stage	Activity	Goal
1	Goods Receipt (استلام البضائع)	Receiving materials from suppliers based on purchase orders.
2	Quality Check (فحص الجودة)	Ensuring the safety of materials and their conformity to specifications.
3	Put Away (تخزين المنتجات)	Moving materials to appropriate internal locations within the warehouse.
4	Internal Transfer (تحويل داخلي)	Transporting materials between sites or warehouses.
5	Raw Material Issue (صرف للإنتاج)	Sending raw materials to production based on manufacturing orders.
6	Manufacturing Receipt (استلام الإنتاج النهائي)	Receiving the finished products from the manufacturing department.
7	Delivery Order (شحن المنتجات)	Delivering finished products to customers based on sales orders.
8	Stock Reconciliation (تسوية المخزون)	Adjusting system quantities to match the actual physical stock after a periodic or ad-hoc inventory count.

2.4 System Operating Procedures (Step-by-Step)

A. Receipts of goods

1. From the inventory panel → Operations → Receipts.
2. Select the "purchase order" you wish to receive.
3. Check the "quantities" and "locations" of all materials received.
4. Click "Validate" to confirm receipt.
5. The quantities will be updated automatically in the inventory.

B. Internal Transfer

1. From inventory → Operations → Internal transfers.
2. Create a new transformation and specify:
 - Source Location.
 - Destination Location (Warehouse).
 - Types and quantities.
3. Perform the conversion by pressing "Validate".

C. Raw Material Issue

1. This is done automatically when the manufacturing order (MO) is confirmed.
2. The required quantities are deducted from the various raw material locations according to their availability.
3. The process can be reviewed from the "Operations" tab within the manufacturing order.

D. Receiving the finished products

1. Upon completion of the production process, receipt of the final product is recorded.
2. Quantities are converted from "ongoing production" to "finished products".
3. The process can be reviewed from the "Operations" menu, then Manufacturing Receipts.

E. Periodic Inventory Adjustment

1. From the "operations" menu, select "Inventory Adjustments".
 2. Create a new inventory and specify the location or warehouse.
 3. Enter the actual quantities present.
 4. Click "Validate" to update the system.
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2.5 Key Performance Indicators (KPIs)

Index	Definition	Target
Stock Accuracy	Inventory accuracy is the difference between the system and reality.	$\geq 95\%$
Turnover Rate	The number of times inventory is replaced.	≥ 4 times a year
Delivery Accuracy	Accuracy of on-time shipping operations.	$\geq 90\%$
Avg. Transfer Time	Average internal conversion time.	≤ 24 hours
Stock Aging	How long does stock remain before use or sale?	≤ 90 days

2.6 Frequently Asked Questions (FAQs)

Q: When is a new inventory movement created?

A: When performing any receiving, transferring, or delivering operation within the system.

Q: Can the receipt process be modified after it has been confirmed?

A: It is not preferred, but it can be cancelled and replaced with a new data correction process.

Q: What is the difference between "Warehouse" and "Location" within the system?

The warehouse represents the overall stock facility, whereas a location is a specific internal subdivision within that same warehouse.

Q: What is the reason for the difference between "actual" and "standard" quantities?

A: Typically, this occurs because of data entry errors or uncertain unit conversions; however, periodic inventory procedures address and correct these discrepancies.

2.7 Data Entry Rules (Data Hygiene)

1. Enter quantities accurately upon receipt and delivery.
 2. Identifying the correct internal locations for each category.
 3. Document all transfers and do not execute them manually outside the system.
 4. Review inventory reports on a weekly basis.
 5. When discrepancies are discovered, the reason should be documented in the "inventory notes".
 6. Do not delete any inventory movement that has already taken place.
 7. Make sure to enter the lot numbers when registering any product.
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2.8 The Daily Checklist For The Inventory Clerk

- Review the operations dashboard daily.
 - Ensure that all open receipt and delivery transactions are processed.
 - Checking pending internal transfer orders.
 - Constantly checking the accuracy of quantities in the warehouse.
 - Follow-up on reordering rules.
 - Preparing the weekly inventory report.
 - Follow up on any feedback from the sales or production departments.
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